

# WARRANTY ATLAS · New Hampshire (NH)

Law last amended: 2013 (eff. 2013-09-23) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-09-28

Cites: N.H. Rev. Stat. Ann. § 357-C:5, II(a)-(b) (compensation; parity; rate declarations); N.H. Rev. Stat. Ann. § 357-C:5, II(b)(1), II(d) (claims; audits; chargebacks); N.H. Rev. Stat. Ann. §§ 357-C:12 (Board; civil action), 357-C:15 (misdemeanor)

**Distributor-franchised state: dealers here are franchised by Subaru of New England, Inc., an independent regional distributor. The rules below apply to the franchisor that holds the dealer's franchise; confirm with Legal how they apply to programs run by the manufacturer's U.S. company.**

## Labor reimbursement by coverage type

| Coverage                     | Status      | Paid hours                                               | Pinpoint / date note             |
|------------------------------|-------------|----------------------------------------------------------|----------------------------------|
| Factory warranty             | Required    | Factory time (reasonable/adequate standard where stated) | § 357-C:5, II(b)(1)              |
| Mfr-backed service contract  | Required    | Factory time (reasonable/adequate standard where stated) | § 357-C:5, II(b)(1); II(b)(1)(A) |
| CPO warranty                 | Required    | Factory time (reasonable/adequate standard where stated) | § 357-C:5, II(b)(1)              |
| Independent service contract | Not reached | -                                                        | § 357-C:5, II(b)(1)              |

Hourly rate: Floor: the manufacturer may not pay 'an amount of money for warranty work that is less than that charged by the dealer to the retail customers of the dealer for non-warranty work of like kind'. The 100 sequential ROs / 90 days / 180-day declaration procedure in II(b)(1)(B)(ii) is written for parts markup. The statute refers to an 'average labor rate' (once per calendar year) and to 'labor reimbursement' on protest, but gives no labor-rate formula. Declared rates must be reas...

## Audit fields

| Field             | Rule                                                                                                                                                                                                                                                                                                                                                             | Pinpoint                                                        |
|-------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|
| Claim decision    | 30 days; late claim deemed approved: Yes. The rejection notice must carry 'a specific statement of the grounds'. No denial based solely on an incidental processing failure, clerical error or administrative technicality.                                                                                                                                      | N.H. Rev. Stat. Ann. § 357-C:5, II(d)(1); II(b)(1)              |
| Payment           | 30 days after approval. Dealer filing deadline: Silent.                                                                                                                                                                                                                                                                                                          |                                                                 |
| Chargebacks       | 9 months; fraud: Fraudulent warranty claims may be charged back within the franchise a.... Charged back only if false or fraudulent, the repairs were improper or unnecessary, or the dealer failed to reasonably substantiate under written requirements in effect when the claim arose (II(b)(1)). The dealer may be present or represented at the audit. A... | N.H. Rev. Stat. Ann. § 357-C:5, II(d)(2)-(7); II(b)(1)          |
| Rate resubmission | once per calendar year (average labor rate declaration). Sample: No statutory labor-rate sample. Excluded: none listed.                                                                                                                                                                                                                                          | N.H. Rev. Stat. Ann. § 357-C:5, II(b)(1)(B)(iv); parity II(...) |
| Mfr response      | Silent; no response = approved: no rule in statute. Challenge: Forum: New Hampshire Motor Vehicle Industry Board written protest (general j)....                                                                                                                                                                                                                 | N.H. Rev. Stat. Ann. § 357-C:12, II(a)                          |
| Penalties         | § 357-C:12, IX: civil action in superior court for actual damages plus costs, including a reasonable attorney's fee. X: attorney's fees and costs to the prevailing party after a Board finding of violation. Board protests under II. § 357-C:5, I: added attorney's fees where a manufacturer violates its warranty to the purchaser. § 357-C:1...             | N.H. Rev. Stat. Ann. §§ 357-C:12, 357-C:15                      |
| Audit procedures  | Audit index 40/100 (High). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: yes; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure.                                                                   |                                                                 |

## Statute quotes

**Claims** (N.H. Rev. Stat. Ann. § 357-C:5, II(d)(1); II(b)(1)): "All such claims shall be either approved and paid or disapproved within 30 days after their receipt, and any claim not specifically disapproved in writing within such period shall be deemed approved."

**Chargebacks** (N.H. Rev. Stat. Ann. § 357-C:5, II(d)(2)-(7); II(b)(1)): "shall retain the right to audit warranty claims for a period of 9 months after the date on which the claim is paid and charge back any amounts paid on claims that are false or unsubstantiated"

**Rate** (N.H. Rev. Stat. Ann. § 357-C:5, II(b)(1)(B)(iv); parity II(...)): "A dealer shall not declare an average percentage markup or average labor rate more than once in a calendar year."

**Factory time** (§ 357-C:5, II(b)(1)): "Time allowances for the diagnosis and performance of warranty work and service shall be reasonable and adequate for the work to be performed."

## Notes

The labor rate has a parity floor and a once-per-year declaration limit, but no statutory sample, formula or manufacturer response procedure. The detailed timetable (30-day notice of rebuttal, 60-day proposal, 90-day Board protest) and the 'reasonable vs. same line-make dealers of similar size in the immediate geographic vicinity' standard are written for parts markup. The manufacturer may audit a dealer's 'effective rates' once per calendar year and cut them prospectively. That audit uses the parts method; a Board protest within 90 days stays the reduction until a final order, and an adjusted rate is frozen 6 months (II(b)(1)(B)(iv)). Scope covers warranty, maintenance plan, extended warranty, CPO or service contract issued by the manufacturer, distributor or its common entity, and any parent, subsidiary, affiliate or agent that issues a plan. Truck/equipment warranty includes transpor...

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